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Example

On 31st March, 2017, Net profit before charging commission is ` 11,000.
The manager is entitled to receive 10% as commission on the profit before charging such a commission.

Commission = 11,000 x 10/100 = ` 1,100. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2017	Manager's Commission A/c	Dr.		1,100	
March 31	To Outstanding Manager's commission A/c				1,100
	(Manager's commission on profit provided)				

Transfer entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Profit and Loss A/c	Dr.		1,100	
Mar. 31	To Manager's commission A/c				1,100
	(Manager's commission transferred to profit and loss A/c)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2017 Cr.

Particulars	`	`	Particulars	`	`
To Manager's commission		1,100			
To Net profit (transferred to capital a/c)		9,900			

Balance Sheet as on 31st March, 2017

Liabilities	`	`	Assets	`	`
Manager's commission outstanding		1,100			

Example

On 31st March, 2017, Net profit before charging commission is ` 11,000.

Adjustment: Provide manager's commission at 10% on the profit after charging such Manager's commission.

$$\text{Manager's commission} = 11{,}000 \times \frac{10}{(100+10)} = ` 1{,}000.$$ The adjusting entry is.